

four-driven car.

Q. How big was the team that worked on the project and what is the investment?

A. The team comprised about 500 people, including those managing the setting up of the plant, and the investment, inclusive of the 3,50,000-capacity plant, would be between Rs 1,500 crore and Rs 1,700 crore.

Q. Taxes account for nearly a third of the cost of a car. Have you written to the finance minister to give this car a break?

A. No. Ravi (Kant) and I believe the industry will show its fangs. But we would have hoped the Government itself would come forward and do it as it has done for Maruti and as has been done in other countries like Japan.

Q. Is the launch of a prototype by Bajaj and plans by others a vindication of the idea?

A. The fact that Bajaj, Ford, Renault and Nissan are looking at a small car tells us there is validity in the thought. There is a need and an urge among people to improve the quality of life.

Q. What do you make of the protests?

A. A small section of people seems to grudge others' aspiration to improve the quality of life, based on perceptions of inadequate infrastructure, congestion,

emission, etc. I wonder if that element of society has the right to decide for the rest of the community.

Q. Are you saying there is a latent elitism? It is okay to pollute or congest if you are rich but not okay if you are not so rich.

A. No. There is a section which thinks throwing something open to the masses is a disaster. But India is a country of people who have a great deal of unsatisfied demand. It is wrong to believe that people don't have the capacity to invest, own and improve the quality of their lives. As we speak,

"It is wrong to believe people don't have the capacity to invest, own and improve the quality of their lives."

capacities are being increased for cars and bikes, but I don't see anyone protesting about it.

Q. Are you surprised at all or had you expected protests?

A. I think we all had expected some protests. It is interesting that the protests have come from people who first expressed disbelief that this could be done. I think that is human nature.

Q. What are the challenges that you see ahead?

A. We have to find innovative ways to finance the car in rural India and design a new distribution system

without the layers, to cut costs.

Q. Would it be possible for dealers to assemble the car like in the case of two-wheelers?

A. No, but we are designing a low-cost assembly plant, which we will sell as a kit to entrepreneurs. They could assemble the car and sell it. But first, we will improve the product by producing it ourselves.

Q. You spoke of skills, entrepreneurship, bottom of the pyramid consumption... Is the car a social objective or a business objective?

A. It is a bit of both in totality. You

don't produce a car with low margins as a business case. You do it because you want to make a contribution to the uplift of lives. You also don't go into a venture to lose money, but you make some sacrifices by accepting leaner profit margins.

Q. How do you plan to celebrate this revolution?

A. It is the start of a journey, the unveiling. At some point, when we feel the product has been accepted and we have revolutionised how people travel... Perhaps a private toast after the launch.

The car is not revolutionary in its looks or in the materials used. As far as the looks are concerned, it leans towards the Benz's Smart, but the similarity ends there. The Nano is very, very Indian. What is revolutionary is the thinking, the philosophy behind the design. It has all been done before, but the elegance of the packaging makes it such a big draw. The architecture—for instance, the placement of the engine below the rear seat—delivers cost and operational efficiency. As Tata points out, "The rear passenger seat is on the engine, so you save space; the engine is driving the wheels directly so you save engineering for the drive; you save the space in the bonnet and construction helps keep the costs down but yet meets safety standards." The result is dramatic in terms of utility and costs. The location of the engine also enabled

the designers to give the car a rakish face that is bound to attract the youth as much as the running cost will.

Along the way, the vendors, which include Bosch for powering the car, Lumax for lights, Sona for steering, Shriram and Ricoh, were coaxed, corralled and challenged by Kant to cut costs. As he told a vendor at a meeting at the company's technical centre, "If this car clicks, it will be as much your success as ours." The vendors took up the challenge and reengineered their own products and thereby brought down costs by 15 per cent—and in some cases, even more. Indeed, Tata quipped that now when he asks his team if a certain element could be altered, "they say that would be so many rupees more and silence me".

Indeed the Nano—which means small in Parsi-Gujarati—turns out to be

a font of innovation, generating as many as 40 new patents for Tata Motors. It wasn't all smooth-sailing; there were hiccups. For instance, they had originally planned to launch a continuously variable transmission system on the lines of gearless scooters, but Tata was not satisfied and they opted for a conventional gear kit drawn from the home grown Ace. Tata also wanted to deploy a home-grown engine, but dropped the idea when it didn't meet the core team's benchmark. The car now uses a 624cc, two-cylinder engine tuned by Fiat and powered by Bosch electronics. It also plans to deliver the car with a 700cc diesel engine—which is still being tweaked—that can deliver over 30 km per litre.

As the Tatas worked on the Nano, word got around that they had probably cracked the formula. The competi-